

C201

Business Acumen

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

A bike shop whose owner races on weekends had revenue of \$500,000 last year. Cost of goods sold was \$300,000 and operating expenses were \$120,000. The shop moved to a bigger storefront in May. What was its gross margin percentage?

- A. 40%
- B. 60%
- C. \$200,000
- D. 16%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

A company's gross margin is 35% on revenue of \$2,000,000. What is its cost of goods sold?

- A. \$1,300,000
- B. \$700,000
- C. \$2,700,000
- D. About \$5,714,286

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A family bakery founded by two siblings has current assets of \$350,000 and current liabilities of \$200,000. It also has a \$500,000 long-term bank loan it used to buy its building. What is its working capital?

- A. \$550,000
- B. \$150,000
- C. -\$350,000
- D. 1.75

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

A company has working capital of \$80,000 and current liabilities of \$120,000. What are its current assets?

- A.** \$200,000
- B.** \$40,000
- C.** 0.67
- D.** \$120,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A protein-snack company, whose CEO is a former college athlete, redesigned its packaging last year. This year it moved its bars from convenience stores into vending machines at gyms and added a monthly online subscription with home delivery. Which element of the marketing mix did it change this year?

- A.** Price.
- B.** Promotion.
- C.** Place.
- D.** Product, because of the packaging.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A bakery's bread line has three steps in sequence. Mixing can handle 120 loaves an hour, the ovens, bought from an Italian maker in 2019, can bake 80 loaves an hour, and packaging can handle 150 loaves an hour. What is the line's maximum output?

- A.** About 117 loaves an hour
- B.** 350 loaves an hour
- C.** 80 loaves an hour
- D.** 150 loaves an hour

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7. [TRANSFER — reversed stem / different variable]

The same bakery wants the line to produce 100 loaves an hour. What must change?

- A.** Speed up mixing, since the first step always sets output.
- B.** Speed up packaging.
- C.** Speed up all three steps by the same amount.
- D.** Add at least 20 loaves an hour of baking capacity.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

The founder of an organic dog-food company, recently featured on the local news, needs \$2 million to expand. She owns 100% of the business, wants to keep full control, and has steady cash flow that can cover loan payments. Which type of financing fits best?

- A.** Equity, because it never has to be repaid.
- B.** Debt, because the lender receives an ownership share.
- C.** Debt, because she keeps full ownership and her cash flow can cover the payments.
- D.** Equity, because investors never want a say in decisions.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

A consumer-goods company with 4,000 employees and three product lines reorganizes so that each product line has its own marketing, production and finance teams, all reporting to a general manager for that line. The company's headquarters is in Cincinnati. Which structure is this?

- A.** Functional structure.
- B.** Divisional (product) structure.
- C.** Matrix structure.
- D.** Flat structure.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A regional credit union with 40,000 members and a newly hired CEO is drafting its strategic statements. Which of these is a vision statement?

- A.** "We provide affordable loans and savings accounts to members in three counties."
- B.** "Grow membership 5% next year."
- C.** "Integrity, service and teamwork."
- D.** "To be the most trusted financial partner in every community we serve by 2035."

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A hardware store had sales revenue of \$1.5 million and cost of goods sold of \$900,000 last year. Inventory was \$140,000 at the start of the year and \$160,000 at the end. The owner added a garden center in April. What was the inventory turnover?

- A.** 3.0 times
- B.** 6.0 times
- C.** 10.0 times
- D.** About 0.17 times

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

A store's inventory turnover is 8 times a year and its average inventory is \$50,000. What is its cost of goods sold?

- A.** \$50,000
- B.** \$6,250
- C.** About 45.6 days
- D.** \$400,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer A Concept 1

A bike shop ~~whose owner races on weekends~~ had revenue of \$500,000 last year. Cost of goods sold was \$300,000 and operating expenses were \$120,000. ~~The shop moved to a bigger storefront in May.~~ What was its gross margin percentage?

Target word: gross margin % **Decides:** (Revenue – COGS) / revenue.

A	Correct	$(\$500,000 - \$300,000) / \$500,000 = 40\%$.
B	Inverted operation	COGS / revenue is the cost share, not the margin.
C	Confusion set	That is gross profit in dollars, not a margin percentage.
D	Adjacent category	Subtracts operating expenses too: that is operating (net) margin.

2. Answer A Concept 1 • transfer

A company's gross margin is 35% on revenue of \$2,000,000. What is its cost of goods sold?

Target word: solve for COGS **Decides:** $\text{COGS} = \text{revenue} \times (1 - \text{gross margin})$.

A	Correct	$\$2,000,000 \times 0.65 = \$1,300,000$.
B	Adjacent category	That is gross profit.
C	Inverted operation	Adds the margin to revenue instead of removing it.
D	Confusion set	Divides revenue by 0.35, which has no meaning here.

3. Answer B Concept 2

A family bakery ~~founded by two siblings~~ has current assets of \$350,000 and current liabilities of \$200,000. ~~It also has a \$500,000 long-term bank loan it used to buy its building.~~ What is its working capital?

Target word: working capital **Decides:** Current assets – current liabilities.

A	Inverted operation	Adds current liabilities instead of subtracting them.
B	Correct	$\$350,000 - \$200,000 = \$150,000$.
C	Camouflage	Subtracts the long-term loan, which is not a current liability.
D	Adjacent category	That is the current ratio, not working capital.

4. Answer A Concept 2 • transfer

A company has working capital of \$80,000 and current liabilities of \$120,000. What are its current assets?

Target word: solve for current assets **Decides:** Current assets = working capital + current liabilities.

A	Correct	$\$80,000 + \$120,000 = \$200,000$.
B	Inverted operation	Subtracts instead of adding.
C	Confusion set	A ratio of the two figures, not an amount of assets.
D	Wrong stem number	That is current liabilities.

5. Answer C Concept 3

A protein-snack company, ~~whose CEO is a former college athlete, redesigned its packaging last year.~~ This year it moved its bars from convenience stores into vending machines at gyms and added a monthly online subscription with home delivery. Which element of the marketing mix did it change this year?

Target word: which P **Decides:** Changing where and how customers get the product.

A	Adjacent category	A subscription is a delivery channel here; no price change is described.
B	Confusion set	Promotion is how buyers learn about a product.
C	Correct	Channels and delivery methods are place (distribution).
D	Camouflage	The packaging changed last year; this year's change is distribution.

6. Answer C Concept 4

A bakery's bread line has three steps in sequence. Mixing can handle 120 loaves an hour, the ovens, ~~bought from an Italian maker in 2019,~~ can bake 80 loaves an hour, and packaging can handle 150 loaves an hour. What is the line's maximum output?

Target word: maximum output **Decides:** The slowest step, baking at 80 per hour.

A	Adjacent category	The average of the three steps; the slowest step governs.
B	Confusion set	Adds capacities of steps done in sequence.
C	Correct	The bottleneck limits the whole line.
D	Inverted operation	Uses the fastest step instead of the slowest.

7. Answer D Concept 4 • transfer

The same bakery wants the line to produce 100 loaves an hour. What must change?

Target word: where to add capacity **Decides:** Only baking (80) is below 100.

A	Absolute language	The slowest step sets output, wherever it is.
B	Inverted operation	Packaging is already the fastest step.
C	Dropped element	Drops the bottleneck idea; only baking needs more capacity.
D	Correct	Mixing (120) and packaging (150) already exceed 100.

8. Answer C Concept 5

The founder of an organic dog-food company, ~~recently featured on the local news,~~ needs \$2 million to expand. She owns 100% of the business, wants to keep full control, and has steady cash flow that can cover loan payments. Which type of financing fits best?

Target word: financing type **Decides:** She wants to keep control and can make payments.

A	Dropped element	Drops her wish to keep full control.
B	Confusion set	Lenders receive interest, not ownership.
C	Correct	Debt does not dilute ownership; fixed payments are affordable.
D	Absolute language	Equity investors often gain votes or board seats.

9. Answer B Concept 6

A consumer-goods company ~~with 4,000 employees~~ and three product lines reorganizes so that each product line has its own marketing, production and finance teams, all reporting to a general manager for that line. ~~The company's headquarters is in Cincinnati.~~ Which structure is this?

Target word: structure type **Decides:** Each product line has its own full set of functions.

A	Inverted operation	Functional groups everyone in marketing together, and so on.
B	Correct	Self-contained units by product, each with its own functions.
C	Adjacent category	A matrix gives people two bosses; here each team reports to one general manager.
D	Confusion set	Flatness is about the number of levels, not how units are grouped.

10. Answer D Concept 7

A regional credit union ~~with 40,000 members and a newly hired CEO~~ is drafting its strategic statements. Which of these is a vision statement?

Target word: the vision statement **Decides:** A vision describes the future the organization aims for.

A	Confusion set	Describes what it does now: a mission.
B	Adjacent category	A measurable objective, not a vision.
C	Dropped element	A list of values with no future state.
D	Correct	Describes a desired future state.

11. Answer B Concept 8

A hardware store had sales revenue of \$1.5 million and cost of goods sold of \$900,000 last year. Inventory was \$140,000 at the start of the year and \$160,000 at the end. ~~The owner added a garden center in April.~~ What was the inventory turnover?

Target word: inventory turnover **Decides:** COGS / average inventory; average = \$150,000.

A	Dropped element	Divides by \$300,000, dropping the step of averaging.
B	Correct	$\$900,000 / \$150,000 = 6.0$.
C	Camouflage	Uses sales revenue instead of COGS.
D	Inverted operation	Divides inventory by COGS.

12. Answer D Concept 8 • transfer

A store's inventory turnover is 8 times a year and its average inventory is \$50,000. What is its cost of goods sold?

Target word: solve for COGS **Decides:** COGS = turnover × average inventory.

A	Wrong stem number	That is average inventory.
B	Inverted operation	Divides instead of multiplying.
C	Adjacent category	$365 / 8$ is days in inventory, not COGS.
D	Correct	$8 \times \$50,000 = \$400,000$.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	4	
Wrong stem number	A figure copied from the prompt that is not the answer.	2	
Adjacent category	The right idea in the wrong bucket.	8	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	9	
Absolute language	Always, never, guarantee — where judgment applies.	2	
Confusion set	Every option is real; the test is exact role-matching.	8	
Camouflage	Answers a stem fact that was never the question.	3	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Gross margin	Gross margin % = (revenue – cost of goods sold) / revenue; operating expenses come out later, in net margin.	Subtracting operating expenses too early, or dividing COGS by revenue.	Revenue, COGS and operating expenses given together.
2	Working capital	Working capital = current assets – current liabilities; long-term items are left out.	Including long-term debt, or giving the current ratio instead.	Current and long-term items on the same balance sheet.
3	The marketing mix	Product = what is sold; price = what it costs; place = how and where it reaches buyers; promotion = how buyers learn about it.	Calling a change in where the product is sold “promotion.”	A change to channels, outlets or delivery.
4	Bottlenecks	A process can produce no faster than its slowest step; raise output by adding capacity at the bottleneck.	Speeding up a step that is already faster than the bottleneck.	Capacities for several steps in sequence.
5	Debt vs. equity financing	Debt keeps ownership and control but requires fixed repayments; equity gives up ownership share but has no required repayment.	Thinking lenders get ownership, or that equity comes without loss of control.	An owner who wants to keep control and a business with steady cash flow.
6	Organizational structure	Functional groups people by specialty; divisional groups them by product, region or customer with its own functions; matrix gives people two bosses.	Calling any structure with multiple products a matrix.	Whether each unit has its own full set of functions and who people report to.
7	Mission vs. vision	A mission says what the organization does now and for whom; a vision describes the future it aims to reach.	Calling a statement of current activities a vision.	Present tense and current services vs. an aspiration for the future.
8	Inventory turnover	Inventory turnover = cost of goods sold / average inventory, where average = (beginning + ending) / 2.	Using sales revenue or forgetting to average.	COGS, beginning and ending inventory, and sales revenue nearby.

Course scope (public description): The Business Acumen course introduces you to the operation of the business enterprise and the role of management in directing the activities of the business. You will examine the roles of management in the context of business functions such as marketing, operations, accounting, and finance.